

Thames Water — Restructuring & Recapitalisation Analysis

Audited portfolio edition · September 2026
L&VW; proposal announced 16 March 2026 · Ayush Chakraborty

£3.35bn	£3.25bn	30%	52%
Proposed new equity	New day-one debt	Class A principal write-off	Day-one net leverage

Executive summary

London & Valley Water's 16 March 2026 proposal contemplated **£3.35bn of new equity** and **up to £6.55bn of new debt**, comprising £3.25bn of new day-one debt and up to £3.30bn of committed undrawn debt. It proposed a 30% principal write-off of Class A debt, full write-off of Class B debt and subordinated debt / existing shareholder equity, and 52% day-one net leverage.

Important status: the proposal was non-binding and, when announced, remained subject to review by Thames Water, Ofwat, other regulators and financial stakeholders. Thames Water stated there was no certainty it would be accepted or finalised in its then-current form.

Audit conclusion

The core proposal terms, the 30 September 2025 pre-restructuring figures used by the model, the RCV/debt-capacity arithmetic and the illustrative bond present-value calculation have been reperformed. The model's central arithmetic is internally consistent. The most important interpretive limitation is that the debt-capacity schedule is a scenario envelope, not a forecast of actual post-restructuring debt.

What changed in this edition

This version improves the original report's layout, explicitly labels the proposal as non-binding, separates reported facts from model assumptions, adds subsequent FY26 context, and makes the difference between nominal principal retention and economic recovery clearer.

1. Reported position and proposal terms

Metric	30 Sep 2025	Audit status
Statutory net debt	£17,626.9m	Matches model / reported basis
Covenant net debt	£19,337m	Matches model / reported basis
Covenant net debt net of TWSSI cash	£18,798m	Matches model / reported basis
Regulatory Capital Value (RCV)	£21,893m	Matches model / reported basis
Senior gearing net of TWSSI cash	85.9%	Matches model / reported basis
Liquidity	£861.7m	Matches model / reported basis

Proposal terms

Proposal term	Value	Classification
New equity	£3.35bn	Reported proposal term
New day-one debt	£3.25bn	Reported proposal term
Committed undrawn debt	Up to £3.30bn	Reported proposal term
Total potential new debt	Up to £6.55bn	Derived from proposal components
Class A principal write-off	30%	Reported proposal term
Class B / subordinated / existing equity	Full write-off	Reported proposal term
Day-one net leverage	52%	Reported proposal term
End-AMP net leverage	c.60%	Reported proposal assumption
Long-term net gearing target	≤65%	Reported proposal target

Subsequent FY26 context

The model intentionally anchors its pre-restructuring snapshot at 30 September 2025. For context, Thames Water's later FY2025/26 annual results reported statutory net debt of **£18.516bn**, RCV of **£22.725bn**, gearing of **86.1%** and liquidity of **£1.038bn** at 31 March 2026. Those later figures should not be silently substituted into a model that is explicitly analysing the position around the March 2026 proposal.

Interpretation

The £3.25bn day-one debt figure is **new debt**; it is not the same thing as total post-restructuring debt. Any integrated capital-structure forecast would also need the reinstated Class A terms, actual drawdowns, cash balances, operating cash flow and capital expenditure.

2. RCV / debt-capacity scenario

The workbook assumes 5% annual RCV growth for four periods and prescribes a gearing path from 54% to 60%. Debt capacity is then calculated as $RCV \times \text{target gearing}$. These are **illustrative model assumptions**, not Thames Water guidance.

Period	Illustrative RCV	Target gearing	Debt capacity	Reperformed
FY27E	£22.988bn	54%	£12.413bn	✓
FY28E	£24.137bn	56%	£13.517bn	✓
FY29E	£25.344bn	58%	£14.699bn	✓
FY30E	£26.611bn	60%	£15.967bn	✓

Reperformance

Starting from £21.893bn, four years of 5% compound RCV growth gives **£26.611bn** in FY30E. Applying 60% gearing gives **£15.967bn** of illustrative debt capacity. This reproduces the workbook's £15.967bn result.

Why this is not a debt forecast

The schedule back-solves a leverage envelope from assumed RCV and gearing. It does not model interest, cash generation, AMP8 capex, reinstated debt amortisation, new-debt drawdowns or cash balances. It is therefore useful as a capital-structure sensitivity, but should not be described as forecast debt.

Model design assessment

The workbook is appropriately transparent for a portfolio project: reported inputs are separated from proposal terms, the RCV scenario is formula-driven, and the explanatory note explicitly warns that it is not an integrated operating cash-flow forecast. No obvious formula errors were identified in the key calculation ranges.

3. Class A nominal vs economic recovery

A 30% principal write-off means 70% of principal is nominally retained. That is not the same as a 70% economic recovery because the value of the reinstated instrument depends on coupon, maturity and the required discount rate.

Illustrative assumption	Value
Original Class A claim	£15.0bn
Principal write-off	30%
Retained principal	£10.5bn
Coupon	6.0%
Maturity	10 years
Discount rate	8.0%
PV of coupons	£4.227bn
PV of principal	£4.864bn
Economic value	£9.091bn
Economic recovery	60.6%

Economic recovery sensitivity

Maturity	5%	6%	7%	8%	9%
5 years	73.0%	70.0%	67.1%	64.4%	61.8%
7 years	74.1%	70.0%	66.2%	62.7%	59.4%
10 years	75.4%	70.0%	65.1%	60.6%	56.5%
12 years	76.2%	70.0%	64.4%	59.4%	55.0%
15 years	77.3%	70.0%	63.6%	58.0%	53.1%

Audit note

The present-value calculation independently reproduces an economic value of **£9.09bn**, or **60.6%** of the original £15bn illustrative claim. The £15bn claim size, 6% coupon, 10-year maturity and 8% discount rate are modelling assumptions, not disclosed L&VW; proposal terms.

Creditor-priority framing

The statement that junior claims should not retain value while senior claims remain impaired is best treated as an analytical restructuring-priority framing, subject to the actual restructuring plan, valuation evidence, creditor classes and court process. It should not be presented as a disclosed term of the L&VW; proposal.

4. Audit summary, limitations and sources

Area	Result	Comment
Proposal mechanics	PASS	Key March 2026 terms match Thames Water's announcement.
30 Sep 2025 snapshot	PASS	Workbook/report figures are internally aligned.
RCV scenario arithmetic	PASS	FY30 £15.967bn debt-capacity result reperformed.
Recovery PV arithmetic	PASS	£9.09bn / 60.6% result reperformed.
Fact vs assumption labelling	IMPROVED	This edition makes model assumptions explicit.
Proposal status disclosure	IMPROVED	Non-binding / no-certainty language added.
Integrated debt forecast	NOT CLAIMED	Current model is a debt-capacity scenario only.

Scope and limitations

This audit checks the mathematical consistency of the uploaded workbook against the report and verifies the central disclosed proposal terms against Thames Water primary-source material. It does not constitute legal advice, a restructuring valuation opinion, a fairness opinion or independent verification of every underlying accounting balance. The L&VW; proposal was non-binding when announced and remained subject to stakeholder and regulatory processes.

Primary sources

Thames Water — Recapitalisation Update, 16 March 2026

<https://www.thameswater.co.uk/news/2026/mar/recapitalisation-update-press-speculation-on-london-valley-water-s-proposal>

Thames Water — Half Year Results 2025/26

<https://www.thameswater.co.uk/news/2025/dec/thames-water-half-year-results-202526>

Thames Water — Annual Results 2025/26

<https://www.thameswater.co.uk/news/2026/jul/thames-water-annual-results-2025-26>

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